STARDOM Ventures

Q2 2023 REVIEW

STARDOM VENTURES

DANNY PELED | DANNY@STARDOM.VC

SUMMARY

- **2023 Highlights:**
  - 1 new investment in amount of $1M
  - 1 follow-ons investment in amount of $1.5M
  - Fair market value: $52M
  - Gross Multiple: 1.4x

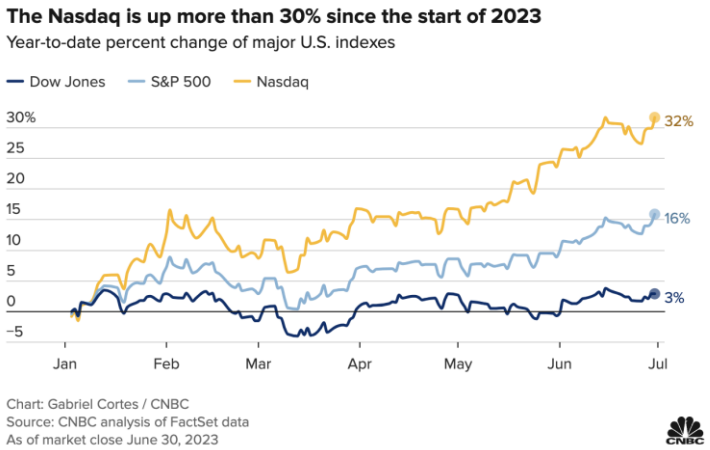
- **New investments in 2023:**
  - PeerPlay- PeerPlay Create and build brilliantly designed and masterfully executed mass-market, category leading games that captivate and monetize players for years we invested $1M as a SAFE with a Cap of $8M and a 15% discount

- **Follow-On investments in 2023:**
  - Humanz- $1.5M at a $40M pre-money valuation

OUR VIEW OF THE MARKET

<u>The Public Markets</u>:

It looks like the tech segment is gaining momentum again. In the first half of 2023, the Nasdaq concluded a surge, propelling its 2023 gains to an impressive 32%.



This marks the most substantial increase in the tech-heavy index during the first six months in 40 years (since 1983 when the Nasdaq skyrocketed by 37%).

What's even more encouraging is that this surge is happening amidst the lingering threat of a recession and the challenges posed by a banking crisis in the U.S. The collapse of Silicon Valley Bank in March, a financial hub for startups and ventures, and the Federal Reserve's continuous increase in benchmark interest rates, all paint a precarious economic backdrop.

Nonetheless, momentum consistently drives the tech sector, with investors fearing missing out on opportunities despite concerns about overinflated valuations.

After a challenging 2022, during which the Nasdaq lost a third of its value, the narrative shifted towards cost reduction and efficiency. Major workforce reductions at Alphabet, Meta, Amazon, and numerous smaller firms paved the way for earnings recovery and a more pragmatic growth perspective.

The Rise of AI in Public Markets:
As 2023 commenced, the focus shifted towards artificial intelligence and the surge in activity around generative AI chatbots. OpenAI, backed by Microsoft, gained significant recognition with its ChatGPT. Nvidia, the hardware that enables the AI revolution, saw its shares soaring by 190% in the first half, lifting the company's market cap past $1 trillion.

Startup Landscape:

Data from research firm PitchBook shows that despite the very impressive rally in the public markets, venture capital funding globally has almost halved in the first six months of 2023, with a sharp decline of 48% in investments to $173.9 billion and the 19% drop-off in deal numbers, despite a huge interest in artificial intelligence startups sparked by the success of OpenAI's ChatGPT.

Investments of more than $40 billion in AI startups were made in the past six months.

By region, Latin America had the biggest drop with an 86% slump while the U.S. and Europe fell 65% and 69% respectively.

As a comparison, in Israel in also dropped in the first H1 2023, but less than other regions with a 68% decrease compared with last year, which was relatively high compared with other regions.

Investors say that not only have higher interest rates caused a rethink of valuations, the current IPO drought and lack of other exit opportunities has made them more selective.

Funding has fallen across all stages, with seed rounds logging the biggest drop with a 44% decline in the number of deals in the U.S.

Nevertheless, many VCs secured their funds in 2021 (Stardom did its final closing in June 2021 as well) and still have a considerable amount of money and wait to come back to a market that expects much lower valuations.

We believe that within the 2nd half of 2023, we will see more VCs return to make investments at an accelerated pace, as a result of the careful optimism in the public markets.

FINANCIALS

As of June 30, 2023

PORTFOLIO STATS

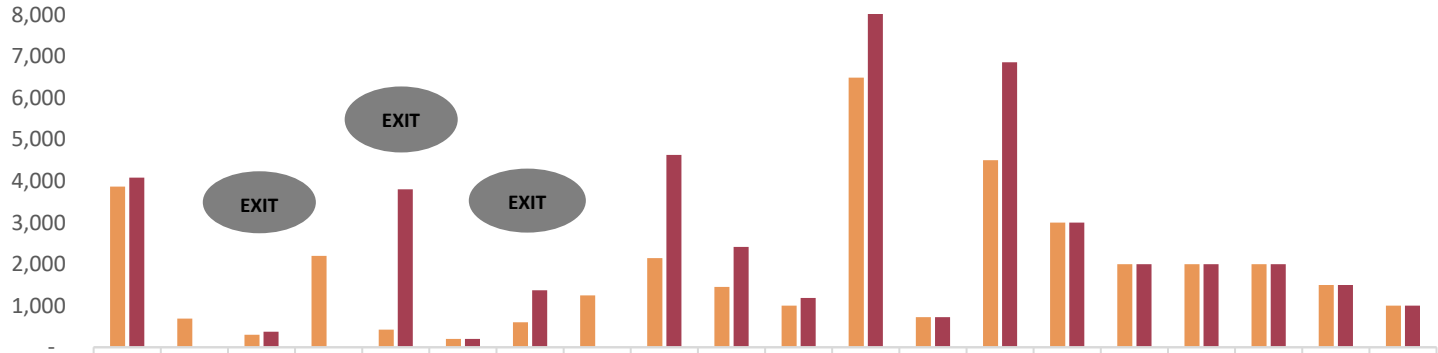
(In US thousands)

Fair market value	51,611	Number of First checks	20
Cost of portfolio companies	37,336	Avg amount of First checks	1,059
Gross Multiple (*)	1.4x	Number of Follow-ons	21
Number of exits	3	Avg amount of Follow-ons	770

(*) The Gross Multiple does not include new portfolio investments made in the past year.

PORTFOLIO FAIR MARKET VALUE

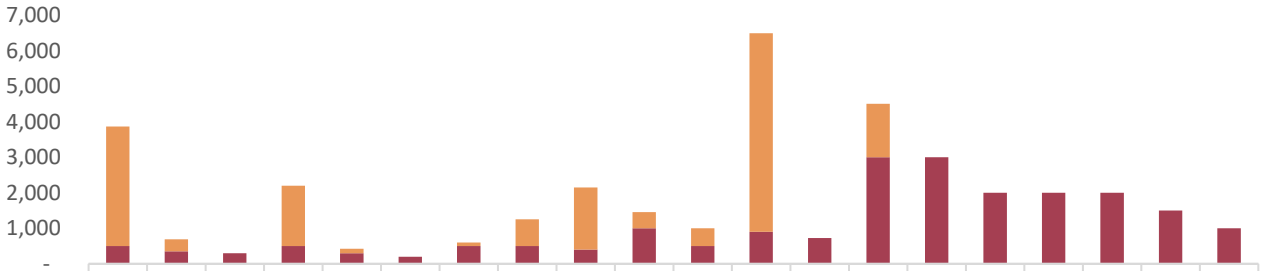
(In US thousands)



	Syte	2Sens	Uponit	Brand Total	IMGN Media	Drove	Odo	Maapilim	Deep-dub	Flying Pigs	Nyk.	Ludeo	Nlight	Humanz	Muuula Games	Treat	Botika	Tedooo	Astrid	Peerplay
FMV	4,081	-	375	-	3,800	200	1,370	-	4,629	2,414	1,186	14,475	724	6,857	3,000	2,000	2,000	2,000	1,500	1,000
Cost	3,864	690	300	2,197	425	200	600	1,250	2,146	1,453	1,000	6,487	724	4,500	3,000	2,000	2,000	2,000	1,500	1,000
Holding %	6.2%	Dissolved	Exit	Dissolved	Exit	SAFE	Exit	Dissolved	5.8%	9.7%	7.7%	13.8%	7.8%	13.7%	18.8%	21.1%	SAFE	19%	SAFE	SAFE
Multiple X	1.1	-	1.3	-	8.9	1	2.3	-	2.2	1.7	1.2	2.2	1	2	1	1	1	1	1	1

PORTFOLIO ALLOCATION

(In US thousands)



	Syte	2Sens	Uponit	Brand Total	IMGN Media	Drove	Odo	Maapilim	Deep-dub	Flying Pigs	Nyk.	Ludeo	Nlight	Humanz	Muuula Games	Treat	Botika	Tedooo	Astrid	Peerplay
Follow-on Investments	3,364	340	-	1,697	125	-	100	750	1,746	453	500	5,587	-	1,500	-	-	-	-	-	-
First Investment	500	350	300	500	300	200	500	500	400	1,000	500	900	724	3,000	3,000	2,000	2,000	2,000	1,500	1,000

PORTFOLIO UPDATE

SYTE

ABOUT: Syte helps retailers connect shoppers to the products that inspire. It uses visual AI to create intuitive search and discovery experiences for all shoppers.

UPDATE: The company has appointed an investment banker to check the option of selling the company after an interest from several companies. As the market conditions do not allow a substantial growth, and several of the company's retail customers are facing financial challenges, the board is interested in exploring this option.

DROVE

ABOUT: The company provides the quickies and easiest way to create online shops, forms, ticketed events, landing pages and newsletters.

UPDATE: The company maintains profitability and looking for new verticals to penetrate in order to boost performance and profitability.

MAAPILIM

MAAPILIM

ABOUT: The company offers grooming and lifestyle products created with natural ingredients taken from the Mediterranean.

UPDATE: The company failed to receive additional funding and despite a good momentum towards the end of Q4 2022, we were unable to agree on the terms of additional funding round, the board has decided to discontinue the support in the company and to shut down the operation. As a result we wrote off an amount of $1.25M.

PORTFOLIO UPDATE (cont.)

FLYING PIGS

ABOUT: Piggy is a mobile app that makes it easy and fun to create documents, presentations, web pages, invitations, and blog posts on a mobile phone, all enriched with visual storytelling features.

UPDATE: The company is still looking and experimenting what would be an ideal market product fit. The burn has dramatically decreased as a result of that, and the company has enough cash until the end of 2024.

DEEPDUB

ABOUT: DeepDub aims to bridge the language barrier and cultural gap in entertainment experiences through high-quality seamless localization.

The company provides a high-quality seamless localization service of entertainment content using deep learning and AI algorithms. DeepDub plugs into the post-production process of content owners and takes complete ownership of all their localization needs.

UPDATE: Deep dub has signed some major deals with Hollywood studios and beginning to generate more revenues according to its plan.

NOW YOU KNOW. (FORMERLY GRASP)

ABOUT: The company is leveraging technology to identify trending topics and repeatably create hit online courses, at scale. Currently, the company is releasing a new video course every month and growing its audience and technology.

UPDATE: The company is gearing up towards a Series A round, with a milestone of $2M in revenues by the end of 2023. The company is hitting its targets every quarter.

PORTFOLIO UPDATE (cont.)

N L I G H T

ABOUT: Nlight is the first software as a service (SaaS) platform that enables Mobile Games Product and Live Ops competitive intelligence. Nlight is based on proprietary machine learning and data mining technologies.

UPDATE: Due to the fact that the technology was blocked by Google, the company is pivoting to locate early stage opportunities in the field of gaming and invest in them.

L U D E O

ABOUT: The company is developing a cutting-edge gaming experience allowing gamers to capture their gameplay highlights and instantly make them into a **"Playable"** - an actual game "chunk" that others can play.

H U M A N Z

ABOUT: Humanz is an AI-powered influencer marketing platform engineered to bring back trust between marketers, content creators, and their audiences, aimed at combating influencer fatigue while also measuring true ROI and creating a safe and seamless end-to-end experience for all parties involved.

Humanz is now established in numerous markets, with strong partnerships with leading brand portfolio companies, D2C businesses, and agencies, including L'Oréal, Unilever, Kimberly-Clark, Nestlé, Cipla, Reckitt Benckiser, Universal McCann, and GroupM.

In February 2023, the company raised $10 million in Series A.

Series A Round: $1.5M at $40M pre-valuation (13.7%)

M U U U L A

ABOUT: The company plans to bring a new type of experience to the gaming world by adding very sophisticated game economy principles which are mostly utilized in casino type of games onto a conservative gaming environment and create more competitive and payable experience than the typical game apps we can today in the gaming world.

UPDATE: First game "Memory Pirates" has already been tested by more than 25K players worldwide and will be ready for production by the end of 2023.

PORTFOLIO UPDATE (cont.)

T R E A T

ABOUT: Treat is a play to rescue platform. Based on gamification, Treat gives pet lovers the option to co-own & treat a real dog or cat in need (a real-life "Tamagotchi").
The company's mission is that almost every pet lover will have a real animal they take care of by playing on Treat.

B O T I K A

ABOUT: Botika researched, developed and successfully launched into production a one of a kind Motion Transfer system that's currently state-of-the-art. The company technology can convert any image of a person into a moving avatar, purely automatically, without any pre/post-processing steps and in real-time.

UPDATE: Botika is gaining traction in the market with its new AI models, signing via self-serve automated process few brands every month that shift from real models to AI models

T E D O O O

ABOUT: Tedooo is the first B2B social platform customized for the trade world!

The company's vision is to boost and create global trade communities via relationships and partnerships between sellers and buyers and any type of companies or individuals related to the trade world.

The Tedooo platform is designed to provide all the tools and features our communities need to connect and scale their business. Tedooo already has users from more than 150 different countries and is growing rapidly.

PORTFOLIO UPDATE (cont.)

ASTRID ENTERTAINMENT

ABOUT: A gaming company focused on developing fantastical living worlds that inspire positive, community play and can cross over into different mediums, including film and TV

PEERPLAY

ABOUT: A gaming company focused on Create and build brilliantly designed and masterfully executed mass market, category leading games that captivate and monetize players for years.

Our Investment: $1M as a SAFE with a Cap of $8M and a 15% discount.